Example:

On 5.1.2017, X Ltd. purchased 30 cotton shirts @ Rs.150 each worth Rs.4,500 from Goyal Mills, Ahmedabad on credit.

Vouching of Credit Purchases

Auditor should vouch the transaction in the following manner:

1. Verify entry in Purchase Day Book with respect to date of purchase, invoice number, name of supplier and amount of purchase.
2. Verify entry in Suppliers Account with regard to date and amount of purchase.

Purchase Day Book

Date	Purchase Invoice No.	Name of the Customer	L.F.	Details Qty	Amount ₹
2017 Jan. 5	210	Goyal Mills, Ahmedabad		30	4,500

Goyal Mills (Creditor/Supplier), Ahmedabad Account

Dr. **Cr.**

Date	Particulars	L.F	Amount ₹	Date	Particulars	L.F	Amount ₹
				2017 Jan. 5	By Purchases		4,500

8.3 Vouching of Purchase Returns

Goods returned by the client to the suppliers due to poor quality, defective goods and goods not according to the sample are recorded in the Purchase Returns Book. When the goods are returned, the supplier's account should be debited. The debit is made through the purchase returns book on the basis of a Debit Note. The supplier, on receipt of the debit note issues a Credit Note indicating the acceptance of the goods.

Auditors Duty

Auditor before vouching purchase returns, should ascertain that a proper system of internal check is in existence and should ensure that full credit is obtained for all goods returned. Further, the auditor

XI_Auditing_Chapter_8.indd 93 19-12-2019 13:07:27